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Vistra Corp | North America

Contracting More Nuclear with Hyperscalers - Positive Read for Additional Activity Ahead

VST signed a long-term nuclear contract with Meta, ~3mo after its last nuclear deal. We note the attractive pricing, low risk and strong political support, positive readacross to more activity, and ~\$23/share in overall value .

Key Takeaways

- Contracting 2,176 MW of operating nuclear generation and 433 MW of uprates over 20-year period with Meta
- Accretive to FCF and supports a higher multiple on the assets, potentially adding \$23/share of value to the stock
- Attractive pricing, similar to recent nuclear contracts
- State leadership very supportive of the deal, lowering risk and improving future nuclear contracting prospects
- Positive readthrough to contracting efforts on VST's other nuclear capacity (Beaver Valley and 1 unit of Comanche Peak) along with CEG and PEG

On Friday, VST announced a long-term nuclear contract with Meta. The company is contracting 2,176 MW of operating nuclear generation (1,268 MW at the Perry plant and 908 MW at the David-Besse plant) along with 433 MW of uprates (213 MW at Perry, 80 MW at David-Besse, and 140 MW at Beaver Valley). The deal is highly accretive adding 8-10% FCF from the operating assets and another 5-7% for the uprates, state leadership was very supportive, we see low execution risk with no regulatory approvals needed, pricing looks attractive and similar to recent deals, and VST still has more nuclear capacity to contract ahead. We see the contract as a solid proofpoint of the value of nuclear to hyperscalers, offering readacross to the prospects of CEG and PEG to sign long-term contracts at existing plants. We also don't think this deal rules out other deal structures - This arrangement is front-of-the-meter (low customer impact) along with additionality (some nuclear uprates), but we still like the prospects of collocations after FERC cleared a path for behind-the-meter data centers, along gas plant deals

Value enhancing from both the perspective of free cash flow accretion as well as a potential higher multiple on the long-term contracted EBITDA stream: We estimate \$23/share potential value to the stock. The contract on the operating assets will contribute 8-10% FCF accretion, translating to ~\$350-430m at full run rate, and is worth ~\$16-20/share in valuation in our view. In addition, given the long-term 20-year tenor with a creditworthy counterparty we see support for a higher multiple on this cash flow stream vs. uncontracted nuclear assets. We estimate the

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Vistra Corp (VST.N, VST UN)

Diversified Utilities / IPPs | United States of America

Stock Rating	Overweight
Industry View	Attractive
Price target	\$228.00
Shr price, close (Jan 9, 2026)	\$166.37
Mkt cap, curr (mm)	\$57,434
52-Week Range	\$219.73-90.76

Fiscal Year Ending	12/24	12/25e	12/26e	12/27e
EPS (\$) **	7.00	2.10	8.04	8.96
Prior EPS (\$) **	-	-	-	-
P/E	19.7	76.7	20.7	18.6
EPS (\$) §	5.66	5.21	8.86	10.64
Div yld (%)	1.4	0.7	0.6	0.6

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

QUARTERLY EPS (\$)

Quarter	2024	2025e Prior	2025e Current	2026e Prior	2026e Current
Q1	(0.24)	-	(0.93)a	-	1.19
Q2	0.90	-	0.81a	-	2.34
Q3	5.25	-	1.14	-	3.29
Q4	1.10	-	1.07	-	1.22

e = Morgan Stanley Research estimates, a = Actual Company reported data

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Perry and Davis Besse plants contribute roughly \$700m of EBITDA in 2026, and every additional 1x higher EV/EBITDA multiple would be worth just over \$2/share. Contracting the asset would support a 2-3x higher multiple in our view to 13-14x EV/EBITDA, adding about \$5/share additional for a total of \$21-25/share. On the uprates, these add 5-7% accretion (\$215-300m in FCF) but there will be a significant investment needed to achieve, likely several \$b, and doesn't fully ramp until 2034, so the incremental value is in the single digit \$/share in the 2030s in our view. VST now has contracted ~55% of its nuclear plant capacity

Pricing ~\$85-90/MWh represents a meaningful premium to the market and aligns with recent nuclear contracts. We estimate that the FCF accretion implies a ~\$19-24/MWh price uplift vs. the market for the existing operational capacity. Forward power prices are ~\$52/MWh at AD Hub for 2026 plus ~\$13/MWh for capacity revenue in 2026, so we estimate the all-in price to be \$84-89/MWh. This is similar to the levels we have seen CEG price front-of-the-meter nuclear contracts, and similar to the pricing we estimate for Talen's contract with AWS. We note this deal does not offer any time to power benefits for Meta, as the company is not collocating data centers at the sites

Local support is notable, reducing execution risk and improving future nuclear contracting prospects. Members of the OH and PA House and Senate offered supportive comments on the contract, as did Pennsylvania Governor Shapiro. As a front-of-the-meter arrangement, the assets will continue to deliver power into the grid and will not be allocated away from existing customers. Support of this arrangement is a positive readacross to efforts by CEG and PEG to contract nuclear capacity in a similar way, along with VST's remaining Beaver Valley nuclear plant capacity 1.9 GW).

Contract length: 20 year take or pay fixed price contract for energy, capacity, and Emission-Free Energy Certificates (EFEC)

Ramp timing: For the operating plants, power delivery begins in late 2026 with Perry and ramps to full capacity by year end 2027 with Davis Bessie for the 2,176 MW. Power delivery begins by 2031 and ramps to full capacity by year end 2034 for the 433 MW of uprate energy and capacity.

Other details: Part of a broader suite of 6.2 GW nuclear deals that Meta executed across VST, Oklo, and Bill Gates' TerraPower in PJM to support its Prometheus cluster

Upcoming IPP dates to track

- 1/19 - Informational report regarding PJM's CIPF process due by
- 1/23 - Requested FERC order on PJM's Joint Periodic Review Proposal and capacity auction changes
- January - Updated PJM load forecast expected
- Ongoing – PJM '27/'28 capacity shortfall investigation
- 3/22 – PJM '28/'29 capacity auction planning parameters

Valuation Methodology and Risks

Vistra Corp (VST.N)

Nuclear: 12x EV/EBITDA multiple. Non-nuclear: 8x implied EV/EBITDA derived from the base case using an unlevered DCF analysis assuming a ~8% WACC, 9% cost of equity (1.2 Beta, 4.50% equity risk premium, and a 4.25% risk free rate), 6% cost of debt, and ~8x terminal EV/EBITDA. \$41/share for data center/clean energy attribute pricing opportunities. Also, we add ~\$6/share to our PT related to higher gas prices

Risks to Upside

- 1) High TX summer temperatures
- 2) Nuclear contracting opportunities with data centers sees more deals could be completed by year-end
- 3) Gas collocation in either ERCOT or PJM
- 4) Sustained retail growth give line of sight to "meaningfully higher" 2027 guidance

Risks to Downside

- 1) Heightened retail competition
- 2) Unfavorable power market regulations
- 3) Unfavorable summer
- 4) Data center demand slows

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(as of December 31, 2025)

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1519	41%	415	48%	27%	674	42%
Equal-weight/Hold	1583	43%	362	42%	23%	720	45%
Not-Rated/Hold	4	0%	1	0%	25%	1	0%
Underweight/Sell	564	15%	87	10%	15%	216	13%
Total	3,670		865			1611	

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Stock Price, Price Target and Rating History (See Rating Definitions)

Vistra Corp (VST.N) - As of 01/12/26 GMT in USD
Industry : Diversified Utilities / IPPs



Stock Rating History: 1/1/21 : 0/A

Price Target History: 12/15/20 : 34; 2/18/21 : 33; 3/8/21 : 28; 3/19/21 : 29; 4/20/21 : 30; 4/27/21 : 28; 6/21/21 : 27; 8/19/21 : 25; 9/1/21 : 27; 9/17/21 : 29; 10/21/21 : 31; 11/2/21 : 30; 11/22/21 : 29; 1/21/22 : 31; 2/18/22 : 32; 3/22/22 : 30; 5/20/22 : 31; 7/29/22 : 32; 8/23/22 : 33; 10/20/22 : 32; 11/11/22 : 31; 2/22/23 : 30; 3/21/23 : 31; 5/2/23 : 32; 5/22/23 : 31; 6/23/23 : 32; 7/21/23 : 33; 8/23/23 : 35; 9/21/23 : 40; 11/21/23 : 41; 12/14/23 : 44; 1/23/24 : 46; 2/22/24 : 50; 2/29/24 : 62; 3/25/24 : 78; 4/17/24 : 83; 4/23/24 : 86; 5/28/24 : 110; 7/23/24 : 109; 8/23/24 : 110; 9/23/24 : 132; 10/22/24 : 135; 11/22/24 : 169; 1/27/25 : 172; 2/20/25 : 173; 4/23/25 : 172; 5/22/25 : 178; 6/18/25 : 186; 7/24/25 : 200; 8/21/25 : 207; 9/25/25 : 223; 11/20/25 : 225; 12/16/25 : 228

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)
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INDUSTRY COVERAGE: Diversified Utilities / IPPs

COMPANY (TICKER)	RATING (AS OF)	PRICE* (01/09/2026)
David Arcaro, CFA		
AES Corp. (AES.N)	O (03/23/2020)	\$14.32
American Electric Power Co (AEP.O)	O (03/10/2020)	\$116.91
Constellation Energy Corporation (CEG.O)		\$342.52
MGE Energy, Inc. (MGEE.O)	U (11/17/2021)	\$78.43
NextEra Energy Inc (NEE.N)	O (09/06/2022)	\$79.89
NRG Energy Inc (NRG.N)	E (12/09/2022)	\$149.27
Public Service Enterprise Group Inc (PEG.N)	O (07/02/2020)	\$78.68
Solaris Energy Infrastructure (SEI.N)	O (12/02/2025)	\$53.16
Talen Energy Corp (TLN.O)	O (03/12/2025)	\$370.83
Vistra Corp (VST.N)	O (03/25/2019)	\$166.37

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.